NEA LOANS

POLICY 4-6

PURPOSE: To establish guidelines on NEA Loans.

INTRODUCTION:

For the purpose of furnishing electric energy to persons in the rural areas not receiving central station electric service, NEA provides loans to cooperatives to finance the construction and operation of rural electric power system consisting of electric generation equipment, transmission, distribution and service lines and all sub-station, transformers. Meters and other equipment necessary for its efficient operation.

Toward this end, BENECO, the borrower, adopts the following policies:

POLICIES:

1. The debt created by the loan shall be evidenced by a note to be executed by the cooperative, payable to the order of NEA.
2. The note shall bear interest at the rate of THREE (3%) PER CENTUM per annum. Interest shall be computed on the basis of three hundred sixty five (365) days a year.
3. The cooperative shall pay to the NEA in the Philippine currency (pesos) interest which shall occur on the outstanding balance of principal and on any due date of unpaid interest.
4. The cooperative shall repay the principal within THIRTY (30) YEARS from the date of the first release of the loan and/or its deposit with the Development Bank of the Philippines (DBP) in one hundred one (101) installments of principal and interest.
5. The first installment shall be due and payable five (5) years after date of release.
6. The note shall be secured by a mortgage made by the cooperative to NEA.

IMPLEMENTATION:

The General Manager shall be responsible for the implementation of this policy.

(SGD) MANUEL E. GONZALES
President

(SGD) ABUNDIO M. AWAL
Secretary

APPROVED per Resolution No. 15-78 dated 31 January 1996.